Profit Illusion:

Economics
- Explicit
- Implicit

Opportunity
- Explicit ⇒ money flow; Investment in day/Running Business
- Implicit

Flour ⇒ Purchase ⇒ Investing money
- Machine
- Hire Worker
- Buy utensils

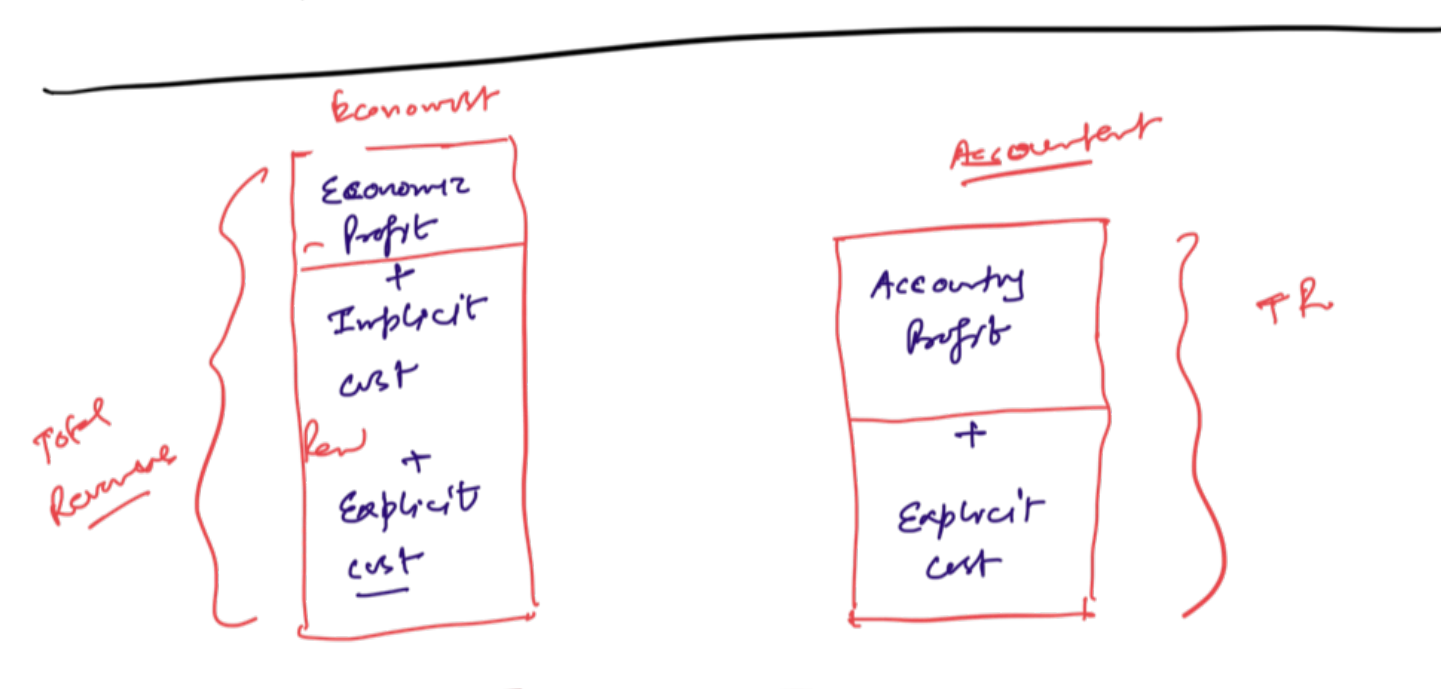
} opportunity cost

Chapati ⇒ Time associated
- collect utensils
- clean
- Dough

} Consume Time

Explicit cost (Actual cash flow)	Implicit cost (value Given up)
① wages / office Rent /	① value of Time and ~~effort~~ efforts. ⇓ you are investing to spend build your own comp.
② Raw material	
③ cloud computing → cost	
④ Software	
⑤ Refreshment cost	②

Economist	Accountant
⊛ How firm / Business make Production and pricing decision.	⊛ Tracking money flow in and out of the Business
⊛ Cost Analysis ↳ Implicit + Explicit cost	⊛ Explicit ⇒ financial Transaction ↳ Pay bills out of pocket money
⊛ Include the value of next alternative which is sacrificed	—
⊛ Based on actual wear and Tear and capital cost.	⊛ Based on tax rules and accounting standard



Profit = TR − cost of Production

e = TR − Cost ⇒ TR = Profit + Cost

⊛ Economic Profit = TR − (Explicit cost + Implicit cost)
opportunity cost

Accounting Profit = TR − Explicit cost

Veersh Employee →	Founder
Data Scientist ↳ 15 Lac / year	1 year ₹ 25 Lac Total Revenue

EP = Total Revenue − (Explicit + Implicit cost)

Exp ⇒
① Rented co-working space = 1.5 Lac
② Software Lic = ₹ 1 Lac
③ Cloud computing = ₹ 2 Lac

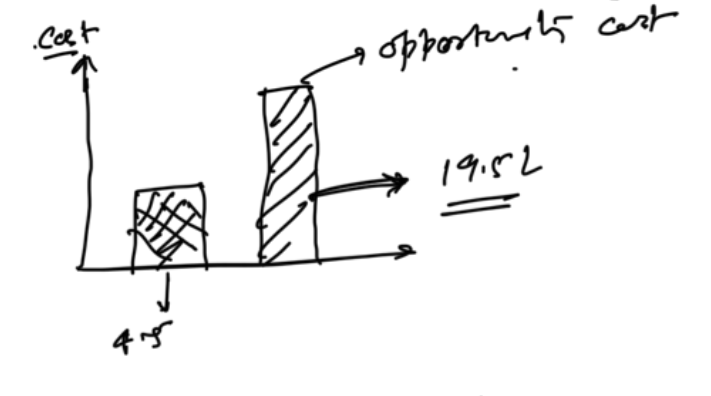
Total Explicit cost = ₹ 4.5 Lac

Accounting Profit ⇒ (as per transaction slips)

+ 28 L → Total Revenue
− 4.5 Lac
⇒ ₹ 20.5 Lac ⇒ Accounting Profit

Implicit cost :-
salary = ₹ 15 Lac

EP = Total Revenue − (Explicit + Implicit cost)



EP = 28 Lac − (19.5 Lac)

EP = ₹ 8.5 Lac

AP = 20.5 Lac ⊛

~~Summ~~ Summary ↳ Data consultancy Company

Exp:
Total Revenue = 50,000 / month
Explicit = 20,000 / month ↳ Rent ; other exp.
Implicit = 50,000/−

Accounting Profit	Economic Profit
= 50,000 − 20,000 = ₹ 30,000/−	Profit = 50,000 − (20000 + 50000) → 70,000 = −20,000/−

Economic Profit

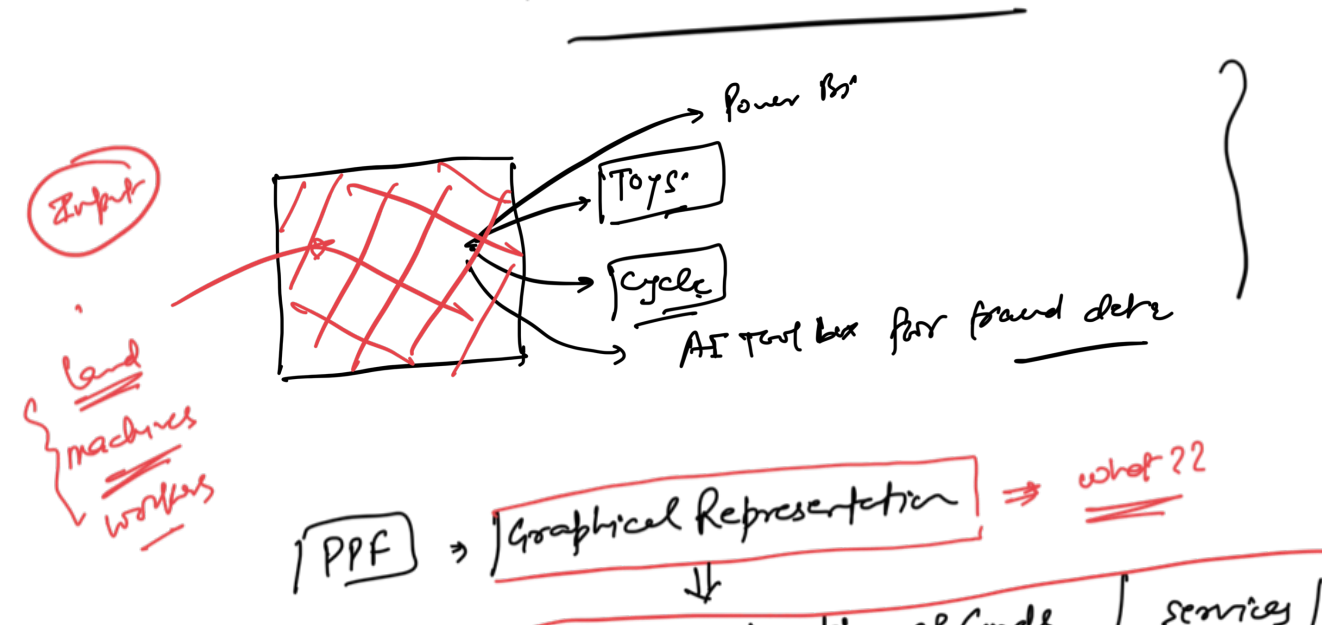
① EP = 0 ↳ Stable / Eqm ⇓ Breakeven condition	② EP = +ve Expand / Attract New firm; supply ~~less~~ increase; Drive the Price down;	③ EP = −ve Business ⇒ exit from market

⇒ Rs 1500/−] → Explicit cost
Rs 4000/−] → Total Revenue

Rs 2000/− Implicit cost

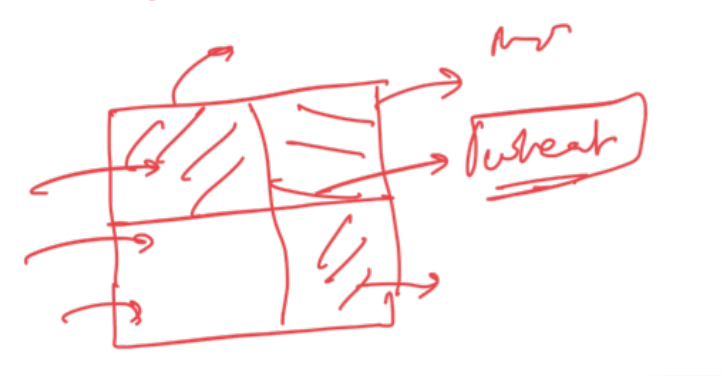
EP	AP
₹ 500/−	₹ 2500/−

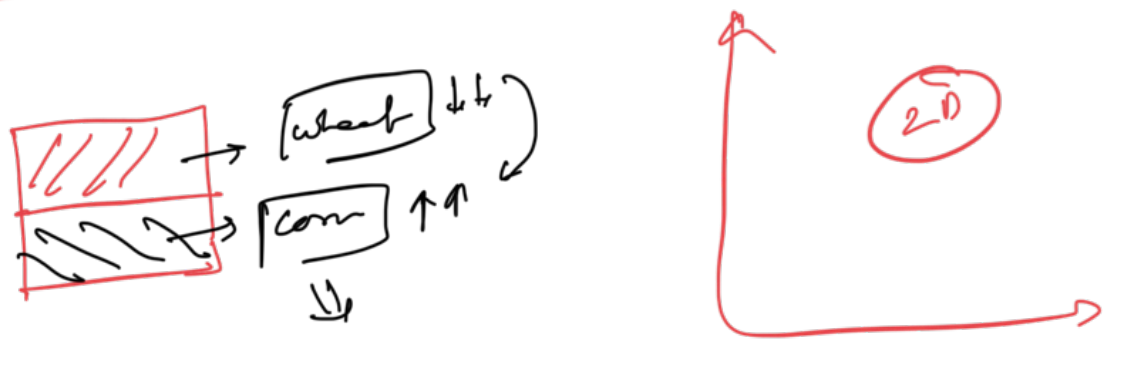
{ Production Possibility Frontier (PPF)
Transformation possibility Curve
Production Possibility Curve



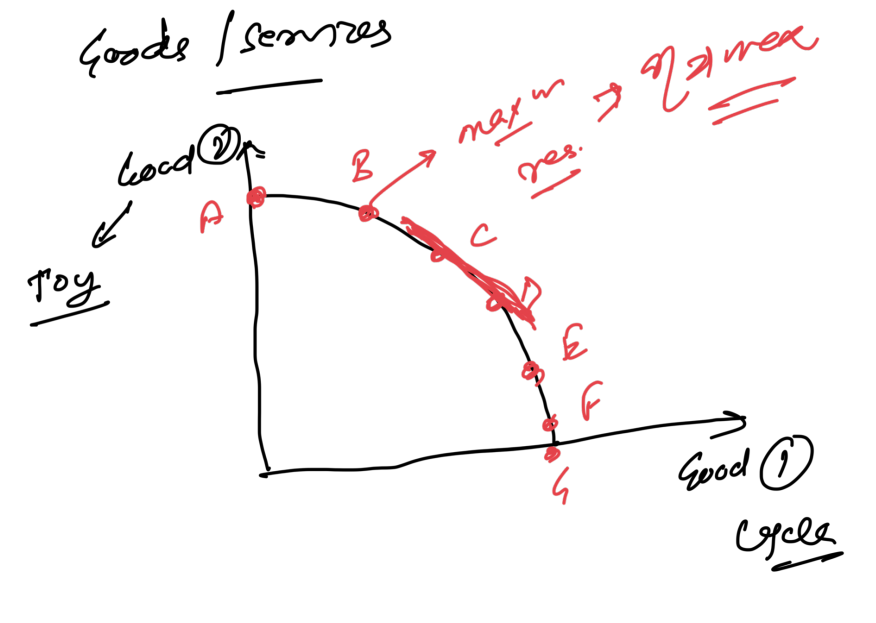
PPF ⇒ Graphical Representation ⇒ what??
⇓
Possible combination of Goods / services / Products.
⇓ why??
To achieve maxm Economic η ↗ effic / maxm. utilisation of available Resources / Economic Growth

25 Toys ↓↓↓↓ —— 25 Cycles → ↑↑↑
50 Nos.
⇓
How much Toys you need to sacrifice to increase number of cycle Production





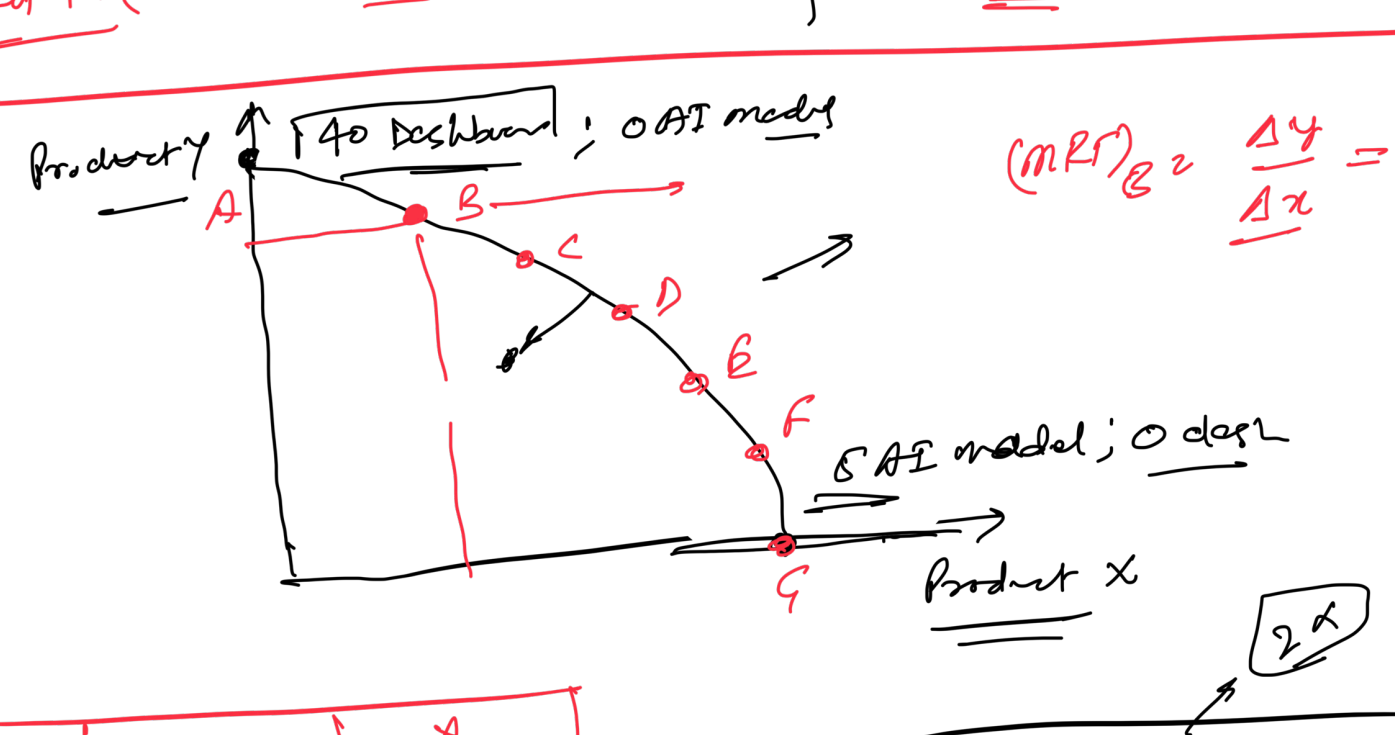
Input → output (maxm Resource utilisation) → as per demand
↑
land / worker / mfg
⇓
making different combination of Goods / services



{ A → mfg. only Toys. cycle mfg = 0
G = mfg. only. cycle Toys mfg = 0

{ man power = 10
Total working Hrs = 1600 / monthly working hr
Core Project list = 2 Nos. }

Product X ⇒ Custom AI models.	Product Y :- BI Dashboard
Nature: supply chain optimization; fraud detection; Dynamic Pricing models	To showcase the live data and analysis
Resource: High;	Low
Unit Price :- ₹ 15.0 Lac	₹ 2.5 Lac

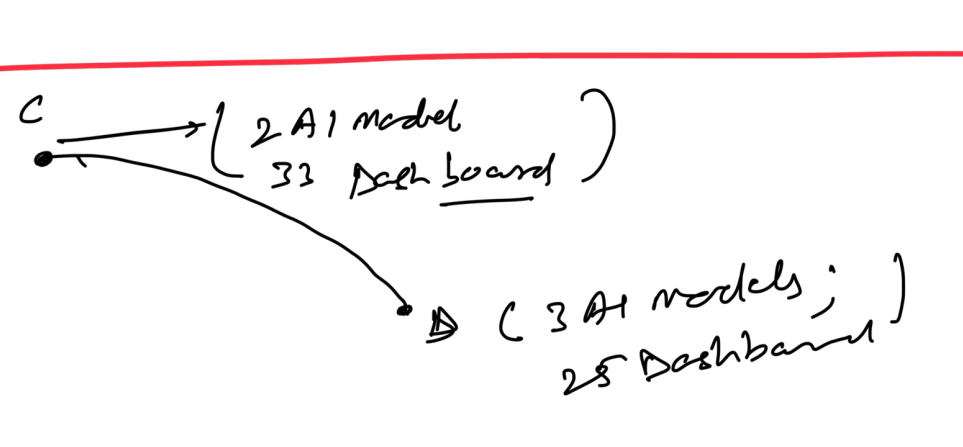


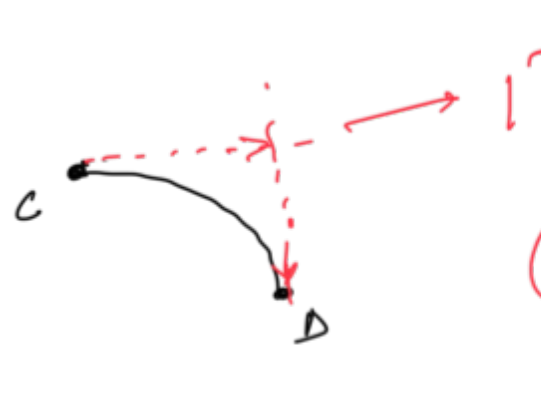
$(MRT)_B = \frac{\Delta y}{\Delta x} =$

Point	X	Y
A	0	40
B	1	38
C	2	33
D	3	28
E	4	14
F	5	0

B ⇒ ~~2X~~ 1X + 38Y → 2X

E = 4x + 14Y





C → D
Gained ① AI Model
Sacrificed :- −8 BI Dashboard

1 AI − 8 BI Dashboard ⇒ −5 Lac
↓ 15 Lac
↓ 8 × 2.5

$MRT = \frac{\Delta Y}{\Delta X}$
⇓
Marginal Rate of Transformation

Assumption
- Input fixed
- Resources ⇒ fully utilised
- Tech + other conditions ⇒ fixed.

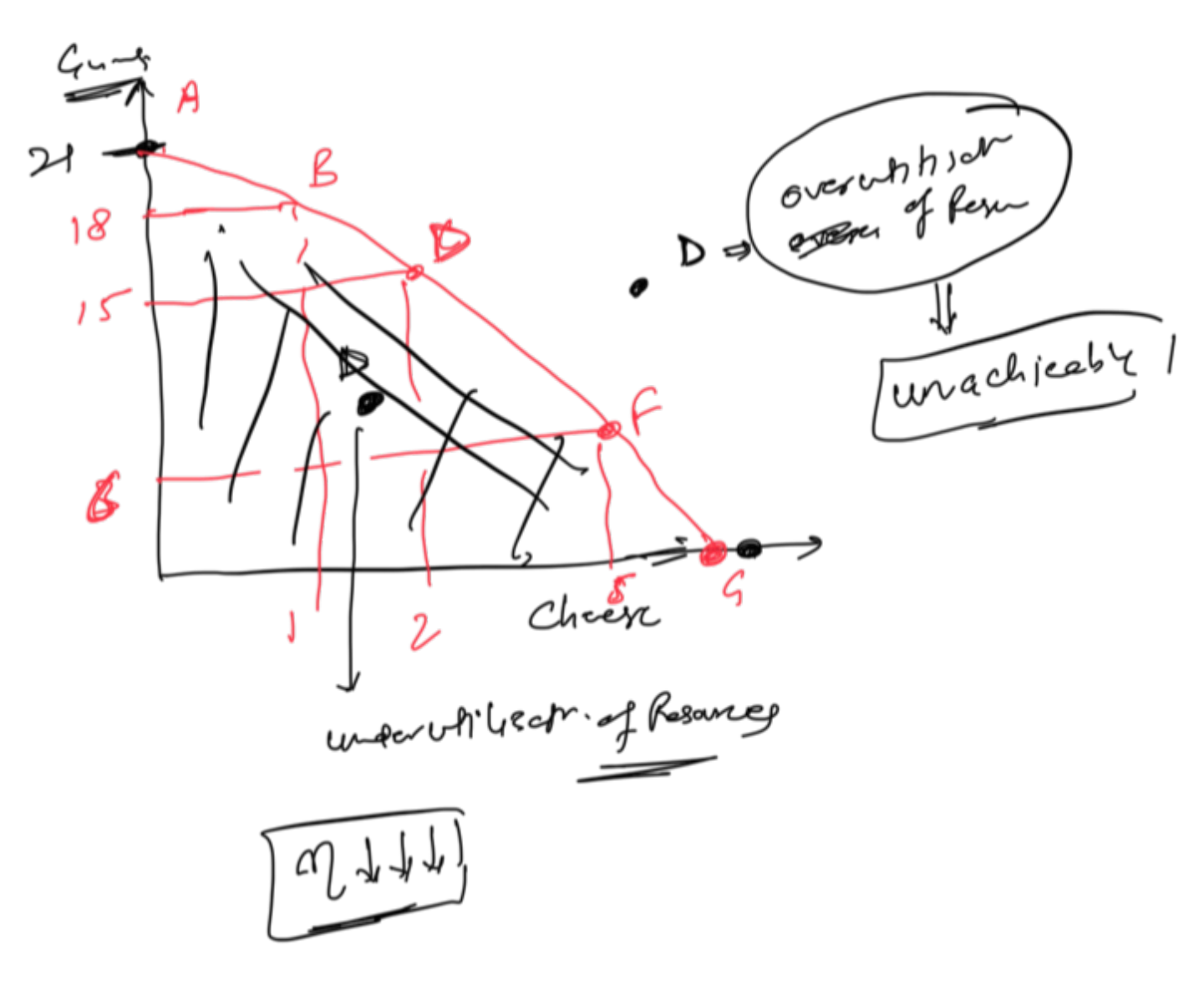
} ⊛

Marginal opportunity cost:

$moc = \frac{\Delta S}{\Delta G}$ → change in sacrifice / → change in Gain

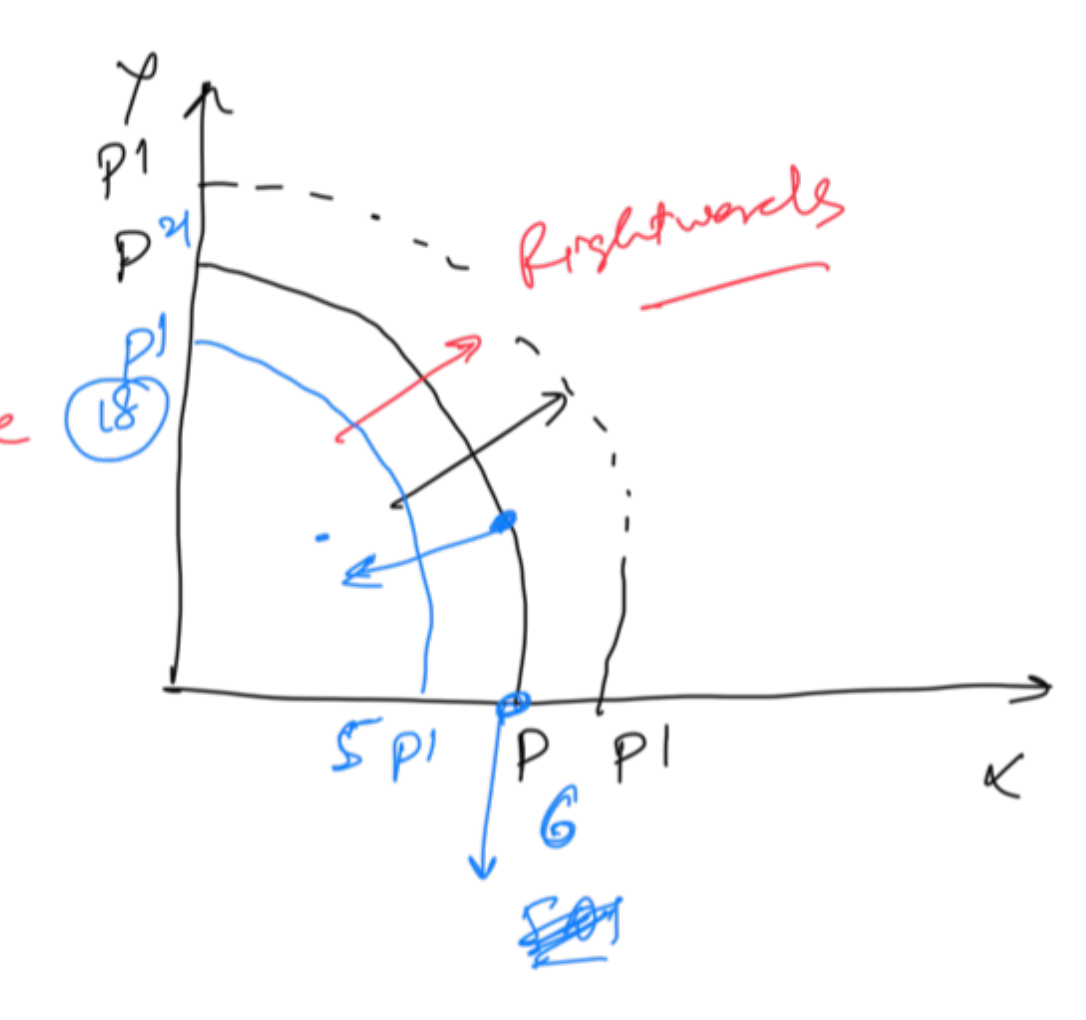
MRT =

Possibilities	Guns (In units)	Cheese (In units)	moc	MRT
A	21	0	–	–
B	20	1	1	MRT = 1G : 1C
C	18	2	2	2G : 1C
D	15	3	3	3G : 1C
E	11	4	4	4G : 1C
F	6	5	5	5G : 1C
G	0	6	6	6G : 1C



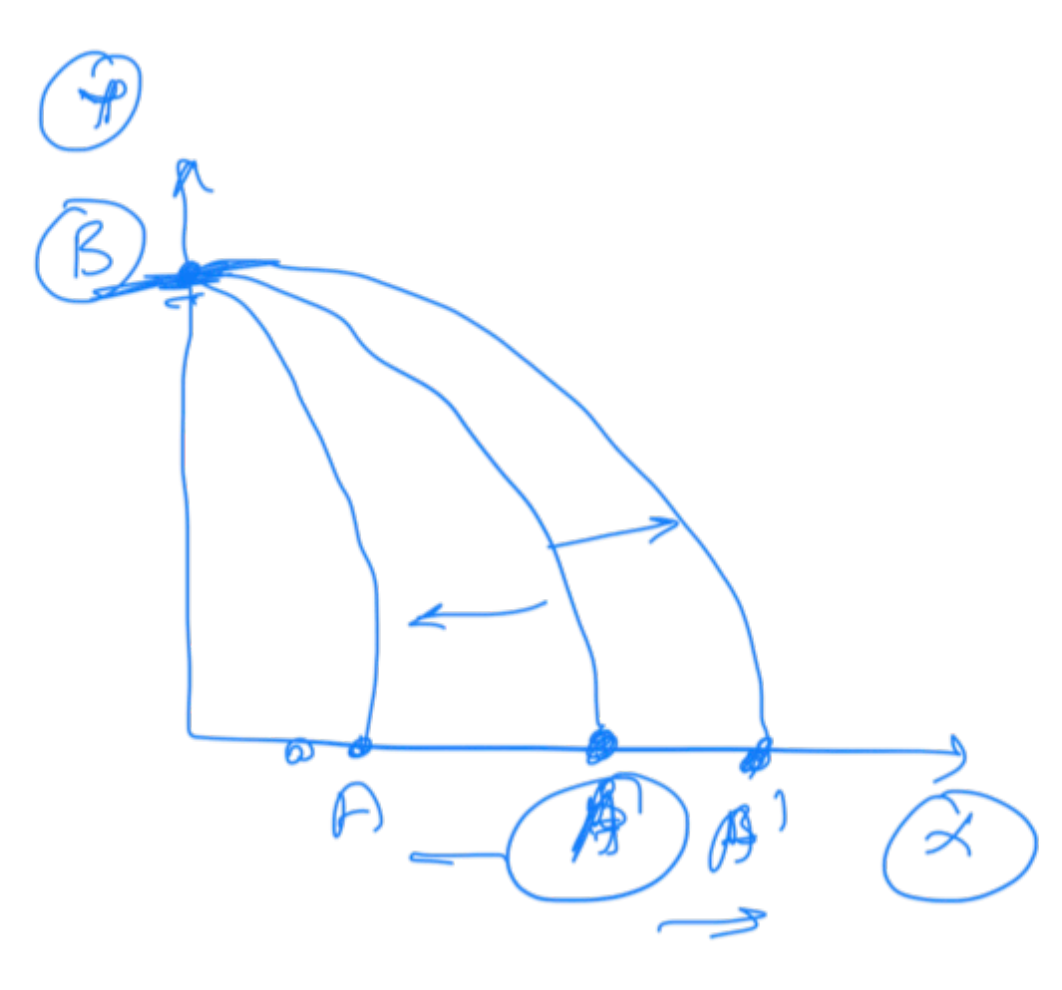
Shift in PPF!

① Rightward shift
- Advancement / Tech Upgrade
- ⇓ Growth of Res ⇓



② Leftward shift

Rotation PPF



PPF ⇒ concept of efficiency = $\frac{Output}{Input}$
- efficiency ⇒ 100% ⇒ No waste ⇒ full utilisation of Resources
  - >100% ⇒ over utilisation of Res ↳ extra resource / Technical adva }
  - <100% ⇒ underutilisation of Resource

① Possibility of Trade off.
② Achieve η max.
③ Evaluate the opportunity cost
④ Planning Economic Growth

} Apply for Business Analysis ⇓ PPF